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JB3501 – Business Strategy

What is strategy?

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Learning outcomes

- By the end of the class, you will:
  - Be aware of the origins of strategy and how the views on strategy have changed over time.
  - Be familiar with strategy terminology.
  - Define strategy.

What is strategy?

Many definitions (1930s-1970s)

- Factors that are strategic (Barnard, 1938)
  - View marked by growing awareness of economic and political power of corporate elites.
  - Rational and natural approach to organisation theory.
  - Organisations as living organisms.
  - Distinguished strategic factors.

Many definitions

- "Determination of the basic long-term goals and objectives of an enterprise, and the adoption of courses of action and the allocation of resources necessary for the carrying out of goals" (Chandler, 1962).
  - Strategy as long-term decisions that shape the direction of the firm.
  - Includes setting goals, choosing actions, allocating resources to achieve goals.

Many definitions

- Specific plan of action directed at a specified result within specified period (Andrews, 1971).
  - Views strategy as a comprehensive plan that guides decision-making and actions.
  - Strategy should consider the firm's scope of business and its position in relation to the environment.

Many definitions (1980s -1990s)

- Michael Porter (1990) defined strategy as the creation of a unique and valuable position involving a different set of activities from competitors.
  - He argued that competitive advantage comes from developing a unique position that competitors cannot easily replicate.
  - Strategy needs to be defined and communicated as an organisation's unique position.
  - How organisational resources, skills and competencies should be combined.

Many definitions (2000s- date)

- "The long-term direction of the organisation" (Johnson et al., 2020)
  - Highlight purpose, speed and time.
  - Distinguish functional, business and corporate-level strategies.
  - Covers emergent and planned as well as for-profit and non-profit.

Many definitions (2000s- date)

- Emergent – realised strategy not expressly intended.
  - Example, Amazon
  - Started as a bookstore.
  - Later adapted their strategy based on market opportunities and internal capabilities.

Many definitions (2000s- date)

- Planned – intended and determined by formal processes.
  - Example, Toyota
  - Known for its highly structured and planned strategy (Toyota production system).
  - Strategy carefully designed to focus on lean manufacturing, continuous improvement (Kaizen) and efficiency.

Strategy safari (Mintzberg et al. 2020)

- The design school (1960)
  - Strategy formation as a process of finding the right fit between internal capabilities and external environment.
  - Example, IKEA's low-cost-high efficiency strategy to target budget conscious consumers.

Strategy safari (Mintzberg et al. 2020)

- The planning school (1960s/1970s)
  - Strategy formation as a systematic process of formal planning.
  - Example, McDonald's menu standardization to maintain global consistency.

Strategy safari (Mintzberg et al. 2020)

- The positioning school (1980s)
  - Success is achieved by selecting best competitive position in the market.
  - Example, Walmart's cost leadership positioning through scale and operational efficiency.

Strategy safari (Mintzberg et al. 2020)

- The entrepreneurial school
  - Strategy is shaped by the vision of a dynamic leader.
  - Example, Tesla. Elon's vision of sustainable future drove the firm's strategy despite market resistance.

Strategy safari (Mintzberg et al. 2020)

- The cognitive school
  - Strategy as a mental process – shaped by perception of managers.
  - Example, Blackberry’s demise was influenced by executive's misperception of the shift to touchscreen smartphones in the marketplace.

Strategy safari (Mintzberg et al. 2020)

- The learning school
  - Strategy evolves through learning.
  - Example, Amazon.

Strategy safari (Mintzberg et al. 2020)

- The power school
  - Strategy results from negotiation and power moves within and outside the firm.
  - Example, Meta's acquisition of WhatsApp and Instagram to maintain dominance.

Strategy safari (Mintzberg et al. 2020)

- The culture school
  - Strategy is shaped by collective vision and organizational culture.
  - Example, Zappos embraces customer service and employee happiness as part of its core strategy.

Strategy safari (Mintzberg et al. 2020)

- The environmental school
  - Strategy is shaped by external environmental forces rather than internal planning.
  - Example, Netflix's decision to shift to streaming service as a response to changing technology and consumer behavior.

Strategy safari (Mintzberg et al. 2020)

- The configurational school
  - Strategy as a transformational process requiring different approaches at each stage.
  - Example, Apple's transformation from struggling in 1990s to industry leader.

Strategy safari (Mintzberg et al. 2020)

- Design school
- Planning school
- Positioning school

Prescriptive

- Entrepreneurial school
- Cognitive school
- Learning school
- Power school
- Cultural school
- Environmental school
- Configurational school

Descriptive

Integrative

Four Perspectives (Whittington, 1996)

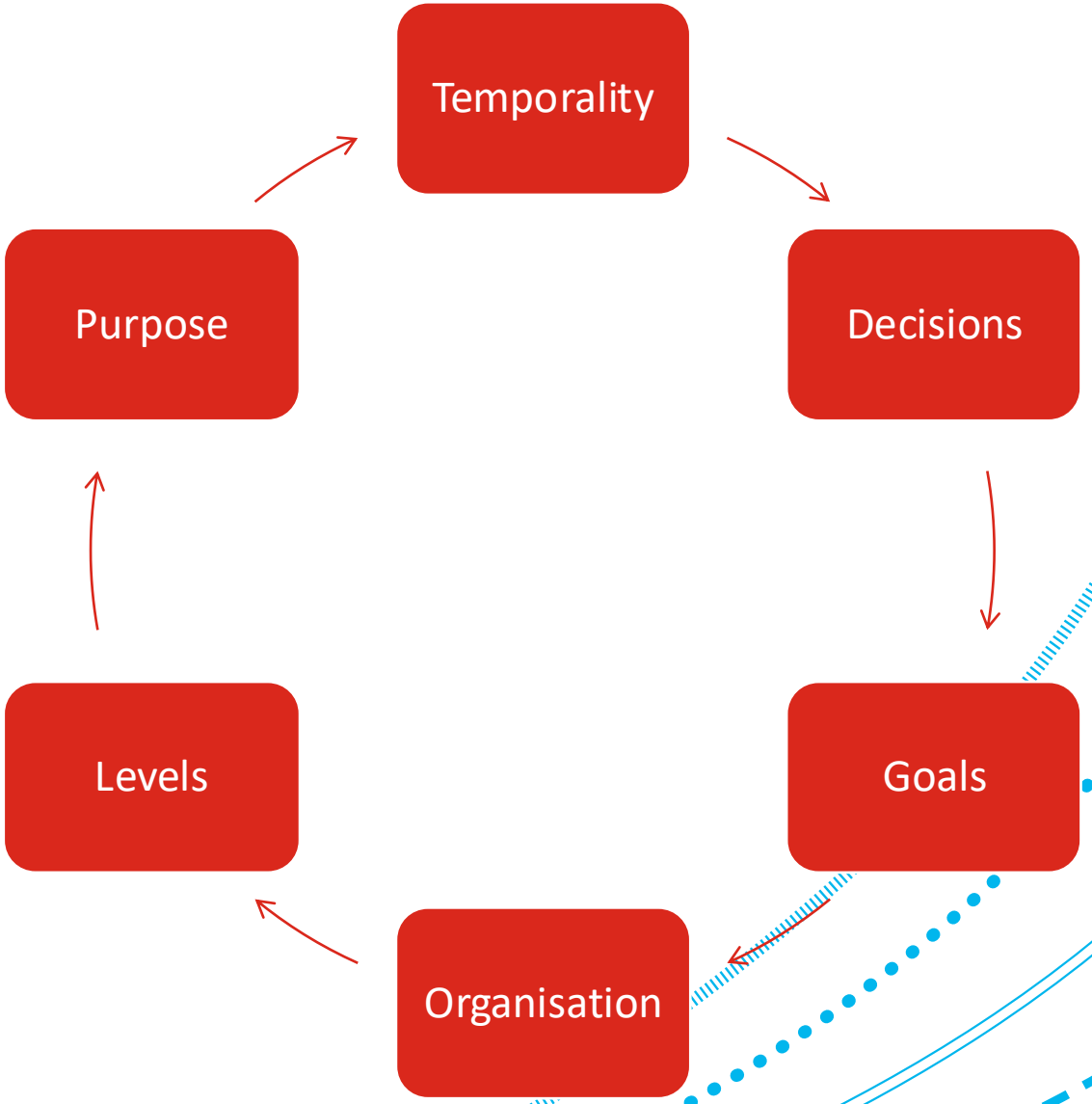
- Classic – strategy is a rational and planned process aimed at maximizing profit.
- Processual – strategy is shaped by learning.
- Evolutionary – strategy is shaped by market forces not internal planning.
- Systemic – strategy is shaped by social, cultural and institutional factors.

Example: OpenAI

- Founded in 2015 as a nonprofit.
- Set out on a mission to build safe and beneficial artificial general intelligence (AGI) for the benefit of humanity.
- Today, OpenAI's business strategy is multifaceted (hybrid), encompassing elements of technology development, research, partnerships, monetisation, and community building.
- OpenAI's commitment to transparency is evident in its efforts to share the principles, economic mechanisms, and governance models that guide its operations. The organisation strives to preserve the core components of its structure while remaining adaptable, recognising the uncertainties on the path to AGI (Foreman, 2023).

How would you define strategy?

- ❑Task [15 mins]:
  - Form your own definition
  - Consider these elements:



How would you define strategy?

- Temporality:
  - Strategy is about deciding what will happen in the future.
  - However, it is important to remember the unpredictability of future events.

How would you define strategy?

- Decisions:
  - Strategy is about making decisions.
  - E.g., long-term/short-term, resource allocation, etc.

How would you define strategy?

- Goals:
  - Strategy is about identifying what needs to be achieved and how to achieve it.

How would you define strategy?

- Organisation:
  - Strategy is about having the right resources, channels, and process flow to actualise goals.
  - E.g., human, financial and structural.

How would you define strategy?

- Levels:
  - Strategy requires an understanding of the level within the firm where it will take place, e.g., business or corporate.
  - It also requires the right organisational structure to support it. E.g., formal/informal; organic/bureaucratic.

How would you define strategy?

- Purpose:
  - Strategy must be backed by an agenda and purposeful action.

It doesn't matter if there is no one definition

- ❑Strategy is an open field not a closed cage.
- ❑Strategy is not one-size-fit-all.
- ❑Strategy is a multifaceted and multidimensional concept.
- ❑While some firms prefer a structured approach, others may adapt and evolve.
- ❑Your understanding of strategy will develop as you learn more about the concept.

Defining strategy

Strategy is defined as:

"Determination of the basic long-term goals and objectives of an enterprise, and the adoption of courses of action and the allocation of resources necessary for the carrying out of goals" (Chandler, 1962).

In summary

- Understanding strategy is not about learning a definition but how to use it.
- There is no one best definition.
- It is a multidimensional, multifaceted, multilevel and adaptable concept.

Any questions?

The End!!

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